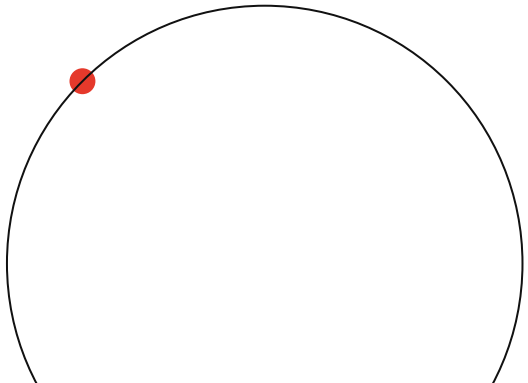
Ethlabs

Stablecoin use in practice



Julian Ma · CBER CTCE 2026 · Ethlabs

Three claims this talk is centered around

A maturing market.

- Stablecoin volume has decoupled from spot trading volume, a sign of organic use.
- High velocity comes from DeFi. Regular usage much more normal.

Unique uses.

- Stablecoins power DeFi alongside ETH
- Stablecoins provide dollar access to people without a migration link

Growth in stablecoin neobanks.

- Fast growth, using stablecoins both as money and as a base for new products.

Stablecoin volume is large

Supply, 27 Oct 2026

$303B

$5B in Jan 2020 · $130B at end-2023

Adjusted transfer volume, 2025

$9T

Visa payment volume: $14T

Turnover per quarter, Q4 2025

13.6×

US M1: 1.65×

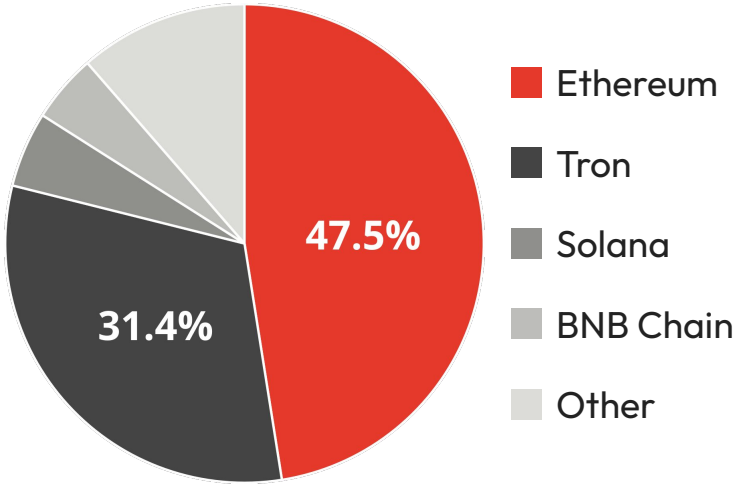
Share held in USDT and USDC

84%

USDT $182B · USDC $71B

Supply: DefiLlama. Volume: a16z State of Crypto 2025;
Turnover: Visa Economic Empowerment Institute (Apr 2026); Share: DefiLlama, 27 Oct 2026.

Ethereum and Tron hold ~80% of stablecoin supply



Who holds it

28% **Centralised exchanges** ≈ $84B

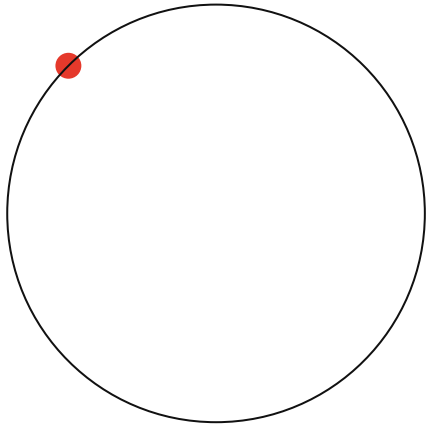
14% DeFi protocols and bridges

52% Unlabelled wallets, mostly self-custody

Chains: DefiLlama, 27 Oct 2026. Holders: Ahmed & Bhattacharya, Andersen Institute (2026)

01

Drivers of Supply



Crypto trading, Dollar Demand, and GENIUS.

Crypto trading

31×

supply growth in 2020–21, as stablecoins became trading collateral

DefiLlama

Dollar demand abroad

–1%

supply change over the past year, against –26% for bitcoin

DefiLlama

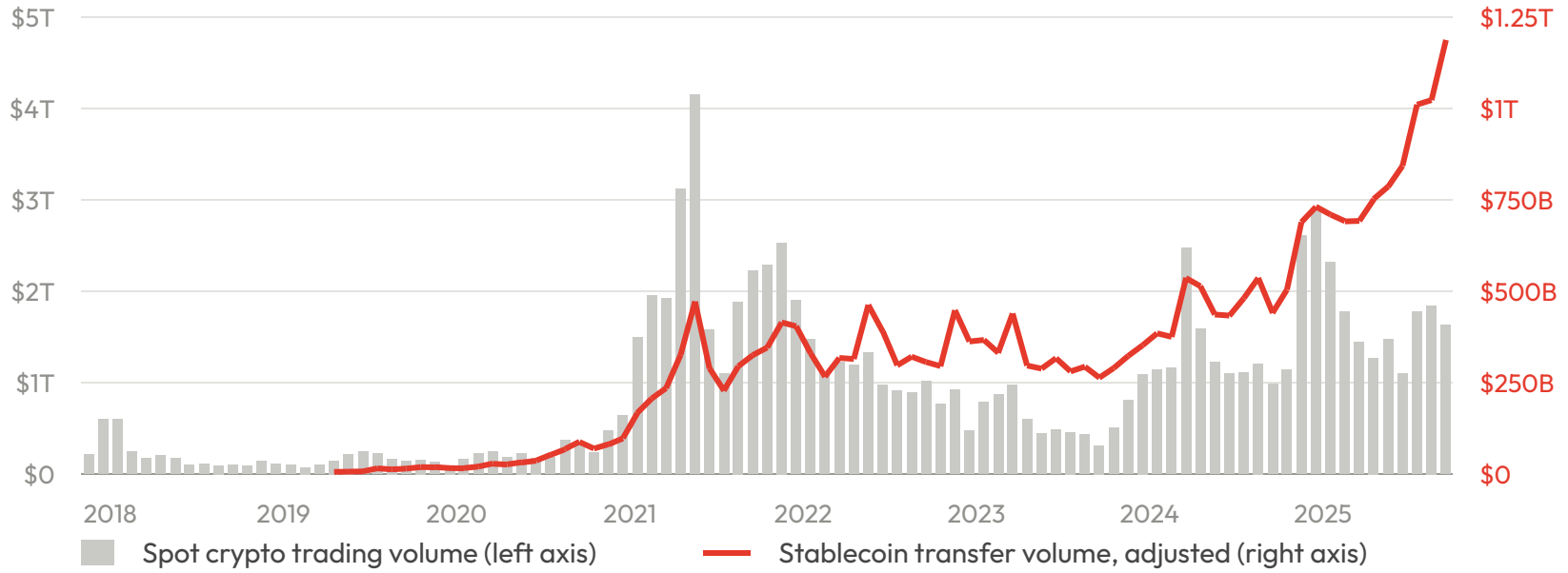
GENIUS Act anticipation

Fidelity, Stripe, PayPal & more

entered via OCC charters or US-regulated coins

OCC; DefiLlama.

Stablecoin volume is decoupling from trading



Redrawn from a16z crypto, State of Crypto 2025

Velocity likely differs sharply by use

DeFi and DEX trading

0.17%

of DEX trading addresses move 63% of DEX stablecoin volume

Mostly bots trading thousands of times a month, a few hundred dollars at a time.

Crystal Intelligence (2026).

Wallet-to-wallet transfers (Tron USDT)

~100×

turnover a year, steady through the crypto cycle (US M1: ~6.6×)

Far slower than DeFi, but still about 15 times faster than M1.

Arkham. M1: Visa VEEI, Q4 2025.

Trading still drives stablecoins, but less each year

- **Maturing.** Stablecoin volume is decoupling from trading volume

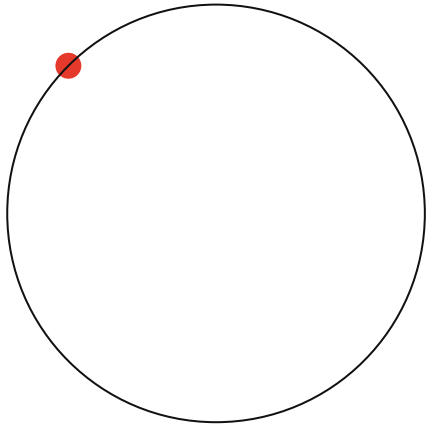
  But crypto trading drove the take-off and still moves supply.

- **Velocity should normalise.** Less trading should mean less extreme turnover

  Payment-like use already turns over far slower than DeFi but faster than M1.

02

Dollar Access



Capital controls push dollar demand into crypto

Capital flight

Controls lift prices

Where dollars are rationed, people pay more to buy them through crypto. The tighter the controls, the higher the premium.

Graf von Luckner, Koepke & Sgherri, IMF WP 24/133 (2024)

Price gaps

Gaps open at borders

Crypto–fiat prices diverge between countries but stay aligned within them, which points to capital controls as the barrier.

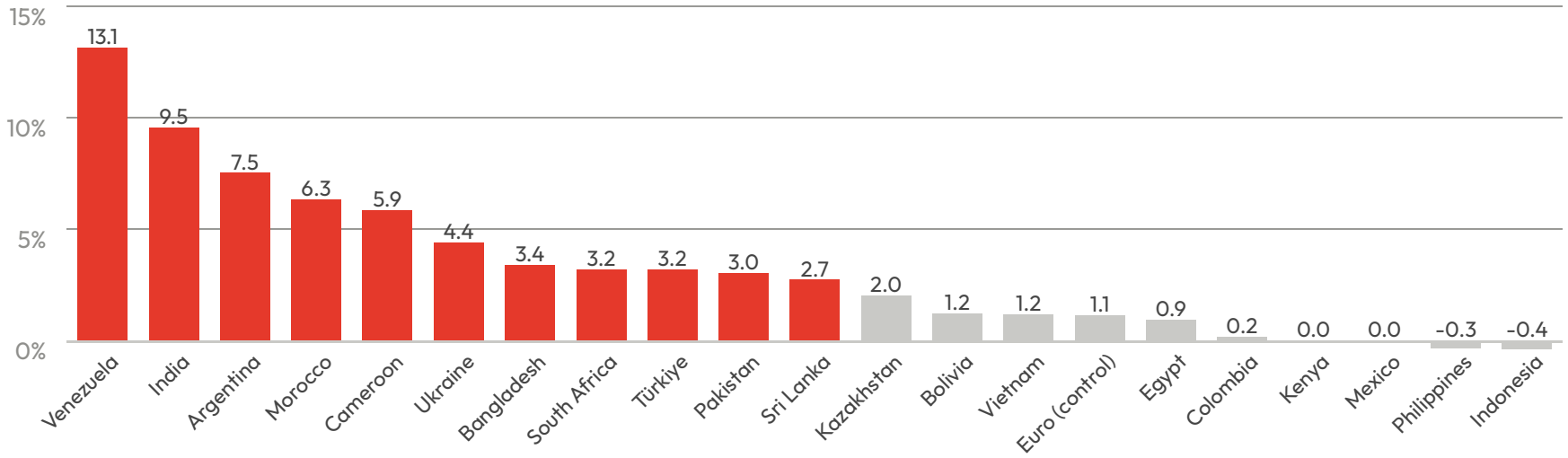
Makarov & Schoar, JFE (2020)

Crypto leaders are not the remittance leaders

Rank	Remittance inflows, 2024	Crypto adoption, 2026
1	India	Brazil
2	Mexico	United States
3	China	Nigeria
4	Philippines	Japan
5	Pakistan	South Korea

World Bank (Dec 2024). Chainalysis Global Crypto Adoption Index 2026 (all crypto, Jul 2025–Jun 2026)

Estimated USDT premiums where FX is restricted



Own estimates with Binance P2P, 29 Oct 2026.

Capital controls lead to non-migration-led corridors

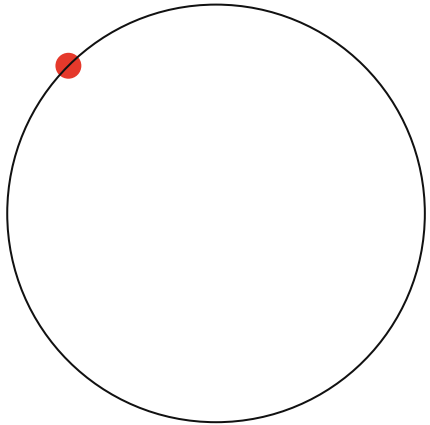
- **Remittances** need a sender abroad
- **Stablecoins** need only an on-ramp

  Distance and language matter far less for crypto flows: BIS WP 1265 (2025)
- **The motive** is dollarisation, not migration-led

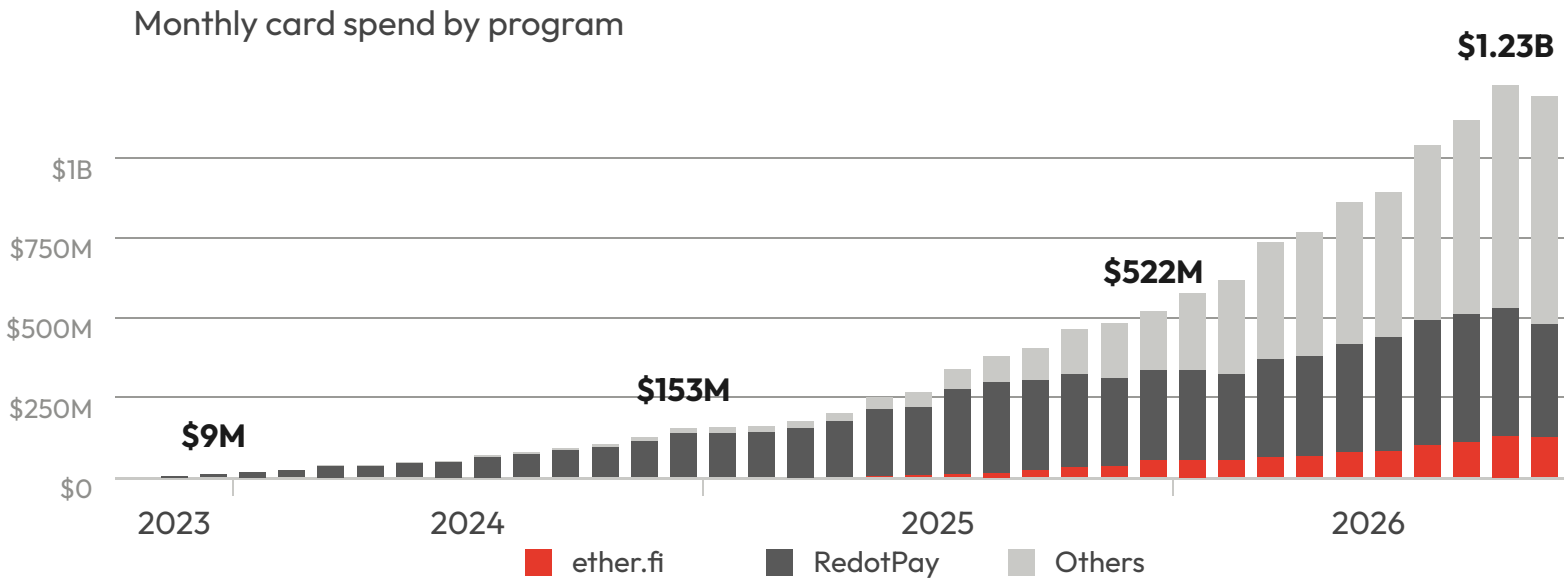
  Hofmann, Mehrotra & Paulick, BIS WP 1370 (2026)

03

Stablecoin Neobanks

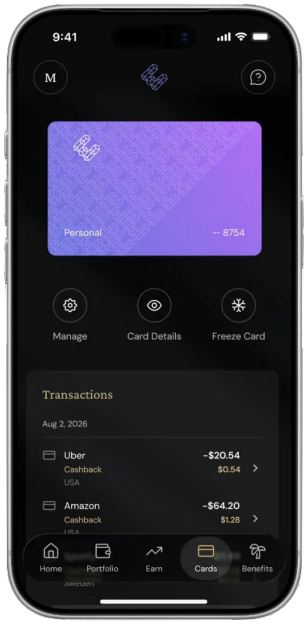


Stablecoin card spending is now $1.2B a month



Redrawn from Paymentscan.xyz

EtherFi Cash: 500k users, cards in 86 countries



500k users

150k cards issued

86 countries and territories, plus 30 US states

Data from EtherFi

Users can spend stablecoins directly

Stablecoins in a self-custodial account



Card issuer converts at checkout



Merchant receives fiat

Faster roll-out with self-custody

Custodial neobank

- Provider holds user funds
- Users bear provider risk

Self-custodial: ether.fi

- Funds in user-controlled vaults
- Forced exit to Ethereum on a Stage 1 rollup

  OP Mainnet since Apr 2026; L2BEAT stages

Leveraging Ethereum's composable markets

Hold tokenized stocks and metals



Borrow against the portfolio via Aave



Spend via the card.

Takeaways

- **Decreasing trading dependence.** Supply grew with crypto trading, but the two are decoupling.
- **Dollar access.** Capital controls lead to premiums.
- **Neobank growth.** Spending and saving onchain.

Thank you

Julian@ethlabs.org

